Deepening foreign exchange opening-up to better serve China's new development paradigm

By Zhu Hexin

TYPE

Speech

SUBTYPE

Central banker's speech

DATE DELIVERED

27 October 2026

Welcome to the new BIS website. Please share your feedback to help us improve.

Keynote speech by Mr Zhu Hexin, Deputy Governor of the People's Bank of China and SAFE Administrator, at the Annual Conference of Financial Street Forum 2026, Beijing, 19 October 2026.

Distinguished Party Secretary Yin Li, Mayor Yin Yong, and dear guests:

Good afternoon.

It is my great pleasure to attend this year's Financial Street Forum.

Taking into account both the domestic and international imperatives, General Secretary Xi Jinping has made major strategic arrangements that we should adhere to high-level opening-up and accelerate the building of a new development paradigm. These arrangements have charted the course and provided fundamental guidance for our foreign exchange management in the new era.

Taking this opportunity, I would like to share three observations on deepening opening-up in China’s foreign exchange sector to better serve the nation’s new development paradigm.

I. Reforming Foreign Exchange Management System to Serve China's Integration into the Global Economic Circulation

Since the launch of reform and opening-up, China has opened its doors to the world, and its foreign exchange management system has undergone profound transformations. As China deepens foreign exchange management reforms, it has progressed from easing foreign exchange shortages and promoting the market-based foreign exchange allocation, to granting market entities greater autonomy in foreign exchange use and enhancing governance in an open environment. All these steady reforms have provided solid support

Welcome to the new BIS website. Please share your feedback to help us improve.

restrictions on current international payments and transfers related to trade in goods and services, as well as investment income. This milestone reform laid a vital institutional foundation for China's deep engagement in global value chains and integration into economic globalization.

Over the past 30 years, despite profound changes in international landscape, China has remained steadfast in its commitment to opening up the foreign exchange sector. We have honored our commitment to current account convertibility, advanced capital account opening-up in an orderly manner, and continuously facilitated cross-border trade, investment and financing, creating greater opportunities for China's development as an open economy.

Over the past three decades, China has grown stronger through its integration into the world economy. China has also connected global supply and demand by leveraging its vast domestic market and complete industrial ecosystem, and made significant contributions to world economic growth through its own opening-up and development. The volume of China's current account transactions has increased from just over USD300 billion in 1996 to more than USD8 trillion in 2025. China has become a major trading partner of more than 160 countries and regions, and is accelerating its transition from a major trading nation to a global trading powerhouse.

II. Deepening Foreign Exchange Opening-up to Better Serve the New Development Paradigm

The 20th National Congress of the Communist Party of China (CPC) laid out comprehensive plans to accelerate the establishment of a new development paradigm and focus on promoting high-quality development, steering China's opening-up toward a higher level.

As China's doors open wider, the structure of its foreign-related economy has undergone profound changes. A prominent feature is that market entities are increasingly becoming a pivotal force linking the domestic and international circulations.

In terms of flows, China's balance of payments has gradually developed a self-balancing pattern. Funds generated from current account surplus are increasingly

Welcome to the new BIS website. Please share your feedback to help us improve.

These changes reflect the deepening reforms of China's socialist market economy, the continued improvements in the institutional frameworks underpinning China's high-standard opening-up, and the enhanced role of the market in cross-border resource allocation. They also demonstrate the rising capacity of Chinese enterprises to engage in international cooperation and competition as well as global resource allocation.

To keep up with the trend, we have taken further steps in recent years to combine "autonomy for enterprises in cross-border operations" and "development of an open ecosystem" in the governance framework of foreign exchange administration. We have focused on unleashing the vitality of businesses, optimizing the ecosystem, expanding opening-up, and improving governance to better support China's new development paradigm.

On the one hand, we are easing the restraints to allow enterprises more autonomy in using foreign exchange.

Giving more consideration to their overall operation needs, we have worked to align and integrate foreign exchange policies across trade, investment and financing areas, providing enterprises with coordinated support to facilitate their cross-border operations as well as efficient capital allocations at home and abroad, thereby unleashing the potential of opening-up.

With the ongoing reform of banks' foreign exchange business conduct, we have pushed for differentiated management based on an enterprise's business performance, credit standing and risk profile. Procedures are simplified to enhance convenience for creditworthy, regulatory compliant enterprises, while monitoring and supervision are strengthened over high-risk businesses. The aim is to both foster vitality and ensure effective regulation.

As of end-June 2026, over 50,000 enterprises in China with good credit records have been exempted from review in foreign exchange-related operations, an increase of about 30 percent from the end of last year. The total volume of foreign exchange business conducted in the first half of 2026 exceeded USD580 billion, doubling that in the same period last year, with the average time needed per trade less than half that in the past.

Welcome to the new BIS website. Please share your feedback to help us improve.

III. Evaluating the Foreign Exchange Management Reform and Opening up by the Satisfaction of Enterprises

The effectiveness of reform should be judged by whether it makes business entities more vibrant and competitive. In recent years, drawing on the earlier pilot programs for high-level opening up in cross-border trade and investment, we have rolled out multiple policy packages supporting the steady development of foreign trade, cross-border investment and financing, and the construction of pilot free trade zones. As of end-September this year, these policies had benefited more than 150,000 business entities, involving business volume of over USD3 trillion.

Recently, on the basis of enhanced existing policies, and in light of new circumstances as well as the new demands of enterprises identified in our surveys and research, we plan to roll out a batch of incremental measures to support enterprises in better participating in international cooperation and competition, and making better use of both domestic and international markets and resources.

First, we will roll out a package of policy measures to make current-account transactions easier. The measures will better meet the diversified settlement needs of foreign trade enterprises, support the development of new forms of trade, and promote higher-quality and more efficient foreign trade.

Second, we will introduce a package of policies to optimize foreign-exchange management under the capital account. The measures will better meet enterprises' needs for cross-border investment, financing and fund allocation, serve the "bringing in" and "going global" strategies, and expand the scope for two-way investment cooperation.

Third, we will promote the opening-up and development of the foreign exchange market. We will expand pilot programs for securities companies to conduct foreign exchange settlement and sales business, and support financial institutions in providing quality exchange-rate risk-management services to enterprises, especially small and medium-sized enterprises. We will also enhance cross-border service capabilities, better support the coordinated development of onshore and offshore financial markets, and help

Welcome to the new BIS website. Please share your feedback to help us improve.

safeguard the stable and sound operation of the foreign exchange market. We will ensure the safety and liquidity of foreign exchange reserves and preserve and increase their value.

Taking this opportunity, I would like to express thanks to the CPC Beijing Municipal Committee and the Beijing Municipal Government for their strong support for foreign exchange management reform. Beijing boasts a concentration of innovation resources, a well-developed headquarters economy and an enabling business environment, creating favorable conditions for exploring higher-level opening-up policies. In recent years, we have worked closely with Beijing to support the city in pioneering the facilitation of cross-border financing for sci-tech innovation enterprises, and in launching, among the first batch, pilot programs such as integrated RMB and foreign currency cash pools for multinational companies. As of end-September this year, the two pilot programs had facilitated more than USD600 billion in cross-border business and benefited nearly 100 sci-tech innovation enterprises and more than 100 multinational companies together with their over 5,000 domestic and overseas member enterprises. All these have provided strong support for the high-quality development of Beijing as the capital city.

Ladies and gentlemen, friends!

This forum, themed “Building an Open, Collaborative and Inclusive Ecosystem for Global Financial Development”, has raised new topics for global financial governance. We will implement the Global Governance Initiative proposed by President Xi Jinping, deliver the requirements of the 15th Five-Year Plan, and take a coordinated approach to development and security, opening up and governance, and market efficiency and macroeconomic stability. We will foster a sound foreign exchange and financial ecosystem, improve foreign exchange management systems and mechanisms to make them more convenient, more open, more secure and smarter, and provide strong support for building a financial powerhouse and advancing Chinese modernization.

Finally, I wish the forum a complete success! Thank you!

The views expressed in this speech are those of the speaker and do not necessarily reflect those of the BIS.

Welcome to the new BIS website. Please share your feedback to help us improve.

Authors

Zhu Hexin

Welcome to the new BIS website. Please share your feedback to help us improve.

Careers
Contact
FAQ

Cookies notice
Copyright and permissions
Privacy notice
Terms and conditions
Warning on fraudulent schemes

STAY CONNECTED

SIGN UP TO RECEIVE EMAIL ALERTS

BIS alerts

Welcome to the new BIS website. Please share your feedback to help us improve.